

*Financial Statements*

# **Nyaya Health d/b/a Possible**

**For the years ended July 31, 2018 and 2017**

NYAYA HEALTH D/B/A POSSIBLE

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## **INDEPENDENT AUDITOR'S REPORT**

To the Board of Directors of  
Nyaya Health d/b/a Possible

We have audited the accompanying financial statements of Nyaya Health d/b/a Possible (a nonprofit organization), which comprise the statement of financial position as of July 31, 2018 and 2017, and the related statements of activities, functional expenses and cash flows for the years then ended, and the related notes to the financial statements.

### **Management's Responsibility for the Financial Statements**

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

### **Auditor's Responsibility**

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

### **Opinion**

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Nyaya Health d/b/a Possible as of July 31, 2018 and 2017, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

### **Report on Summarized Comparative Information**

We have previously audited the Nyaya Health d/b/a Possible's 2017 financial statements, and we expressed an unmodified audit opinion on those audited financial statements in our report dated April 12, 2018. In our opinion, the summarized comparative information presented herein as of and for the year ended July 31, 2017 is consistent, in all material respects, with the audited financial statements from which it has been derived.

New York, NY  
December 21, 2018

**Nyaya Health d/b/a Possible  
Statements of Financial Position  
As of July 31, 2018 and 2017**

|                                             | <u>2018</u>                  | <u>2017</u>                    |
|---------------------------------------------|------------------------------|--------------------------------|
| <b>Assets</b>                               |                              |                                |
| Current Assets                              |                              |                                |
| Cash and cash equivalents                   | \$ 889,517                   | \$ 1,678,354                   |
| Grants receivable                           | 57,412                       | 12,193                         |
| Prepaid expenses                            | <u>8,817</u>                 | <u>840</u>                     |
| Total Current Assets                        | 955,746                      | 1,691,387                      |
| <br>Property and equipment, net             | <br>3,176                    | <br>4,018                      |
| Security deposit                            | 10,000                       | 10,000                         |
| <br><b>Total Assets</b>                     | <br><u><u>\$ 968,922</u></u> | <br><u><u>\$ 1,705,405</u></u> |
| <b>Liabilities and Net Assets</b>           |                              |                                |
| Liabilities                                 |                              |                                |
| Current liabilities                         |                              |                                |
| Accounts payable & accrued expenses         | <u>\$ 145,518</u>            | <u>\$ 106,012</u>              |
| Total liabilities                           | 145,518                      | 106,012                        |
| <br>Net Assets                              |                              |                                |
| Unrestricted                                | 687,277                      | 1,229,923                      |
| Temporarily Restricted                      | <u>136,127</u>               | <u>369,470</u>                 |
| Total Net Assets                            | 823,404                      | 1,599,393                      |
| <br><b>Total Liabilities and Net Assets</b> | <br><u><u>\$ 968,922</u></u> | <br><u><u>\$ 1,705,405</u></u> |

*(See accompanying notes to the financial statements)*

**Nyaya Health d/b/a Possible**  
**Statements of Activities**  
**For the years ended July 31, 2018 and 2017**

|                                              | <b>2018</b>         |                               |                   | <b>2017</b>         |
|----------------------------------------------|---------------------|-------------------------------|-------------------|---------------------|
|                                              | <b>Unrestricted</b> | <b>Temporarily Restricted</b> | <b>Total</b>      | <b>Total</b>        |
| <b>Public Support and Other Revenue</b>      |                     |                               |                   |                     |
| Public Support                               |                     |                               |                   |                     |
| Gifts and contributions                      | \$ 5,315,711        | \$ -                          | \$ 5,315,711      | \$ 5,087,326        |
| Grants                                       | 57,412              | -                             | 57,412            | 12,193              |
| Other Revenue                                |                     |                               |                   |                     |
| Donated goods and services                   | 151,988             | -                             | 151,988           | 187,545             |
|                                              | <u>5,525,111</u>    | <u>-</u>                      | <u>5,525,111</u>  | <u>5,287,064</u>    |
| <b>Net assets released from restrictions</b> |                     |                               |                   |                     |
| Satisfaction of donor restrictions           | 233,343             | (233,343)                     | -                 | -                   |
| Total Public Support and Other Revenue       | <u>5,758,454</u>    | <u>(233,343)</u>              | <u>5,525,111</u>  | <u>5,287,064</u>    |
| <b>Expenses</b>                              |                     |                               |                   |                     |
| Program Services                             | <u>5,389,226</u>    | <u>-</u>                      | <u>5,389,226</u>  | <u>4,086,725</u>    |
| Supporting Services                          |                     |                               |                   |                     |
| General & administrative expenses            | 279,387             | -                             | 279,387           | 366,008             |
| Fundraising                                  | 632,487             | -                             | 632,487           | 637,449             |
| Total Supporting Services                    | <u>911,874</u>      | <u>-</u>                      | <u>911,874</u>    | <u>1,003,457</u>    |
| Total Expenses                               | <u>6,301,100</u>    | <u>-</u>                      | <u>6,301,100</u>  | <u>5,090,182</u>    |
| Changes in Net Assets                        | (542,646)           | (233,343)                     | (775,989)         | 196,882             |
| Net Assets, Beginning of year                | <u>1,229,923</u>    | <u>369,470</u>                | <u>1,599,393</u>  | <u>1,402,511</u>    |
| <b>Net Assets, End of Year</b>               | <u>\$ 687,277</u>   | <u>\$ 136,127</u>             | <u>\$ 823,404</u> | <u>\$ 1,599,393</u> |

*(See accompanying notes to the financial statements)*

**Nyaya Health d/b/a Possible**  
**Statements of Functional Expenses**  
**For the years ended July 31, 2018 and 2017**

|                                                     | <b>Program Services</b>    |                            |                                |                             |                                       |                   |                    |                     |                     |
|-----------------------------------------------------|----------------------------|----------------------------|--------------------------------|-----------------------------|---------------------------------------|-------------------|--------------------|---------------------|---------------------|
|                                                     | <b>Direct<br/>Delivery</b> | <b>System<br/>Building</b> | <b>Design and<br/>Research</b> | <b>Capital<br/>Projects</b> | <b>Total<br/>Program<br/>Services</b> | <b>G&amp;A</b>    | <b>Fundraising</b> | <b>Total 2018</b>   | <b>Total 2017</b>   |
| Grants to Nepal affiliate                           | \$ 2,809,245               | \$ 192,772                 | \$ 654,483                     | \$ 762,000                  | \$ 4,418,500                          | \$ -              | \$ -               | \$ 4,418,500        | \$ 3,216,813        |
| Salaries and wages                                  | -                          | 349,393                    | 264,060                        | 52,990                      | 666,443                               | 134,818           | 376,125            | 1,177,385           | 1,120,778           |
| In-kind expenses                                    | -                          | 2,600                      | 1,300                          | -                           | 3,900                                 | 26,788            | 121,300            | 151,988             | 187,547             |
| Consultancy and other professional fees             | -                          | -                          | 41,076                         | 89,695                      | 130,771                               | 31,904            | 8,517              | 171,193             | 172,242             |
| Payroll taxes and fees                              | -                          | 21,320                     | 20,296                         | 5,454                       | 47,070                                | 22,044            | 32,833             | 101,947             | 102,917             |
| Employee benefits                                   | -                          | 29,414                     | 28,577                         | 3,973                       | 61,964                                | 3,090             | 20,277             | 85,331              | 77,155              |
| Travel Costs                                        | -                          | 23,080                     | 16,464                         | 3,647                       | 43,191                                | 10,198            | 17,664             | 71,053              | 76,191              |
| Occupancy expenses                                  | -                          | -                          | -                              | -                           | -                                     | 9,600             | 38,400             | 48,000              | 57,240              |
| Website and IT services                             | -                          | -                          | 359                            | -                           | 359                                   | 9,923             | 11,871             | 22,153              | 28,402              |
| Accounting and auditing fees                        | -                          | -                          | -                              | -                           | -                                     | 14,150            | -                  | 14,150              | 20,090              |
| Staff recruitment, development and conferences      | -                          | 8,780                      | 8,091                          | -                           | 16,871                                | 616               | 2,628              | 20,115              | 13,427              |
| Insurance                                           | -                          | -                          | -                              | -                           | -                                     | 4,119             | -                  | 4,119               | 4,119               |
| Loss on disposition of asset                        | -                          | -                          | -                              | -                           | -                                     | 207               | -                  | 207                 | -                   |
| Interest Expense                                    | -                          | -                          | -                              | -                           | -                                     | -                 | -                  | -                   | 4,114               |
| Office, telephone, printing and postage Advertising | -                          | 157                        | -                              | -                           | 157                                   | 1,202             | 159                | 1,518               | 3,162               |
| Depreciation Expense                                | -                          | -                          | -                              | -                           | -                                     | 3,294             | -                  | 3,294               | 2,673               |
| Miscellaneous                                       | -                          | -                          | -                              | -                           | -                                     | -                 | 2,713              | 2,713               | 1,974               |
| Legal fees                                          | -                          | -                          | -                              | -                           | -                                     | 3,571             | -                  | 3,571               | 1,263               |
| Dues, fees, licenses and subscriptions              | -                          | -                          | -                              | -                           | -                                     | 3,863             | -                  | 3,863               | 75                  |
|                                                     | <u>\$ 2,809,245</u>        | <u>\$ 627,516</u>          | <u>\$ 1,034,706</u>            | <u>\$ 917,759</u>           | <u>\$ 5,389,226</u>                   | <u>\$ 279,387</u> | <u>\$ 632,487</u>  | <u>\$ 6,301,100</u> | <u>\$ 5,090,182</u> |

*(See accompanying notes to the financial statements)*

**Nyaya Health d/b/a Possible**  
**Statements of Cash Flows**  
For the years ended July 31, 2018 and 2017

|                                                                                                       | <u>2018</u>              | <u>2017</u>                |
|-------------------------------------------------------------------------------------------------------|--------------------------|----------------------------|
| <b>Cash Flows From Operating Activities</b>                                                           |                          |                            |
| Changes in net assets                                                                                 | \$ (775,989)             | \$ 196,882                 |
| Adjustments to reconcile change in net assets to net cash (used in) provided by operating activities: |                          |                            |
| Depreciation                                                                                          | 3,294                    | 2,673                      |
| Loss on sale of disposition                                                                           | 207                      | -                          |
| (Increase) Decrease in:                                                                               |                          |                            |
| Grants receivable                                                                                     | (45,219)                 | 100,293                    |
| Prepaid expenses                                                                                      | (7,977)                  | (840)                      |
| Increase (Decrease) in:                                                                               |                          |                            |
| Accounts payable and accrued expenses                                                                 | 39,506                   | 18,649                     |
| Net Cash (used in) provided by Operating Activities                                                   | <u>(786,178)</u>         | <u>317,657</u>             |
| <b>Cash Flows From Investing Activities</b>                                                           |                          |                            |
| Purchase of property and equipment                                                                    | <u>(2,659)</u>           | <u>(699)</u>               |
| Net Cash(Used in) Investing Activities                                                                | <u>(2,659)</u>           | <u>(699)</u>               |
| <b>Cash Flows From Financing Activities</b>                                                           |                          |                            |
| (Payments to) loan payable                                                                            | <u>-</u>                 | <u>(83,041)</u>            |
| Net Cash (Used in) Provided by Financing Activities                                                   | <u>-</u>                 | <u>(83,041)</u>            |
| Net (decrease) increase in cash and cash equivalents                                                  | (788,837)                | 233,917                    |
| Cash and cash equivalents, Beginning of year                                                          | 1,678,354                | 1,444,437                  |
| <b>Cash and Cash Equivalents, End of Year</b>                                                         | <u><u>\$ 889,517</u></u> | <u><u>\$ 1,678,354</u></u> |
| <b>Supplemental disclosure of cash flow information:</b>                                              |                          |                            |
| Cash paid for interest                                                                                | <u><u>\$ -</u></u>       | <u><u>\$ 4,114</u></u>     |
| Cash paid for taxes                                                                                   | <u><u>\$ -</u></u>       | <u><u>\$ -</u></u>         |

*(See accompanying notes to the financial statements)*

**Nyaya Health d/b/a Possible**  
**Notes to Financial Statements**  
**For the years ended July 31, 2018 and 2017**

**Note 1 - Organization and Summary of Significant Accounting Policies**

*Nature of the Organization*

Nyaya Health, a nonprofit corporation (“Nyaya Health” or the “Organization”) was incorporated in 2005 in the State of Illinois under the provisions of the Illinois Solicitation for Charity Act, Section 225 and qualifies as a tax-exempt not-for-profit corporation under Section 501(c)(3) of the Internal Revenue Code. Nyaya Health is not classified as a private foundation under Section 509(a); accordingly, contributions made to this Organization qualify for the maximum charitable deduction for Federal income tax purposes. Effective March 18, 2014, Nyaya Health began operating under the name “Possible”.

*Affiliations*

Nyaya Health is affiliated with Nyaya Health Nepal (“NHN”). The organizations operate under a Memorandum of Understanding whereby NHN is the local implementing organization of their joint mission. Nyaya Health makes funding decisions regarding NHN through an annual budgeting process and based upon funding availability. Funds are distributed to NHN on a quarterly basis. NHN and Nyaya Health are controlled by separate Boards of Directors; however, the organizations collaborate on clinical operations, managerial details, staffing, procurement and any other assistance. These financial statements include the activities of Nyaya Health only and not those of the combined operations.

*Basis of Accounting*

The Organization’s policy is to maintain its books and prepare its financial statements on the accrual basis of accounting in accordance with generally accepted accounting principles. Consequently, revenues and gains are recognized when earned and expenses and losses are recognized when a liability has been incurred.

The summary information as of and for the year ended July 31, 2017 includes comparative information and is not presented by net asset class or by functional category. Accordingly, such information should be read in conjunction with the Organization’s financial statements for the year ended July 31, 2017, from which the summarized information was derived

*Net Assets*

As required by the FASB Accounting Standards Codification™, the Organization reports information regarding its financial position and activities according to three classes of net assets: unrestricted net assets, temporarily restricted net assets, and permanently restricted net assets. These classifications are related to the existence or absence of donor-imposed restrictions as presented on the following page.

*Unrestricted Net Assets* - consists of assets, public support and program revenues which are available and used for operations and programs. Unrestricted net assets represent the portion of net assets of the Organization that is neither permanently restricted nor temporarily restricted by donor-imposed stipulations. Contributions are considered available for unrestricted use unless specifically restricted by the donor.

*Temporarily Restricted Net Assets* - includes funds with donor-imposed restrictions which permit the donee organization to expend the assets as specified and is satisfied either by the passage of time or by actions of the Organization. Resources of this nature originate from gifts, grants, bequests, contracts and investment income earned on restricted funds.

*Permanently Restricted Net Assets* - includes resources which have a permanent donor-imposed restriction which stipulates that the assets are to be maintained permanently, but permits the Organization to expend part or all of the income derived from the donated assets. These financial statements do not report any assets of this nature.

**Nyaya Health d/b/a Possible**  
**Notes to Financial Statements**  
**For the years ended July 31, 2018 and 2017**

**Note 1 - Organization and Summary of Significant Accounting Policies (continued)**

Donated Goods and Services

The Organization reports revenue for the fair value of contributed services received where the services require specialized skills, are provided by individuals possessing these skills and represent services that would have been purchased had they not been donated. In-kind contributions of goods are recorded at the fair value of items contributed.

For the years ended July 31, 2018 and 2017 the Organization received donated goods and services in the amount of \$151,988 and \$187,545, respectively which are included in other income and expense.

Concentrations of Credit and Market Risk

Financial instruments that potentially expose the Organization to concentrations of credit and market risk consist primarily of cash. Cash at financial banking institutions fluctuates greatly during the year and at times such amounts exceed the current insured amount under the Federal Deposit Insurance Corporation (FDIC). Management regularly monitors the financial condition of the banking institutions, along with their balances in cash, and tries to keep this potential risk to a minimum.

Property and Equipment

Property and equipment acquired are recorded at cost. It is the organization's policy to capitalize expenditures. Property and equipment are being depreciated using the straight-line method over their estimated useful lives as follows:

|                      |         |
|----------------------|---------|
| Computer & equipment | 3 years |
| Furniture & fixtures | 5 years |

Use of estimates

The preparation of financial statements in accordance with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts and disclosures. Actual results could differ from those estimates. Significant estimates include long lived assets, interest rate and fair value of gifts received.

Program Services

Nyaya Health is a nonprofit healthcare company that delivers high-quality, low- cost healthcare to the world's poor. The Organization is pioneering a new approach, called durable healthcare that brings together the best of private, public, and philanthropic models. Since 2008, Nyaya has treated over 300,000 patients in rural Nepal through government hospitals, clinics, and a network of female community health workers.

Grants Receivable

Grants Receivable reflect the amount of expenses paid by the Organization but not yet reimbursed by the grantor.

Contributions, Gifts and Grants

As required by the FASB Accounting Standards Codification™, contributions are required to be recorded as receivables and revenues and the Organization is required to distinguish between contributions received for each net asset category in accordance with donor-imposed restrictions. Contributions may include gifts of cash, collection items, or promises to give.

Contributions, including unconditional promises to give, are recognized as revenues in the period received. Conditional promises to give are not recognized until they become unconditional, that is, at the time when the conditions on which they depend are substantially met. Contributions of assets other than cash are reported at

**Nyaya Health d/b/a Possible**  
**Notes to Financial Statements**  
**For the years ended July 31, 2018 and 2017**

**Note 1 - Organization and Summary of Significant Accounting Policies (continued)**

their estimated fair value. Contributions to be received after one year are discounted at an appropriate discount rate commensurate with the risk involved, when such amounts are considered material.

Support that is restricted by the donor is reported as an increase in unrestricted net assets if the restrictions expire (that is, when a stipulated time restriction ends or purpose restriction is accomplished) in the reporting period in which the revenue is recognized. All other donor-restricted support is reported as an increase in temporarily or permanently restricted net assets, depending on the nature of the restrictions. When a restriction expires, temporarily restricted net assets are reclassified to unrestricted net assets and reported in the consolidated statement of activities and changes in net assets as net assets released from restrictions.

Advertising

The Organization's policy is to charge the cost of advertising to expense as incurred. Advertising expense was \$159 and \$979 for the years ended July 31, 2018 and 2017, respectively.

Functional Expenses

As required by the FASB Accounting Standards Codification™, the Organization allocates its expenses on a functional basis among various programs and support services. Expenses that can be identified with a specific program and support service are allocated directly according to their natural expense classification. Other expenses that are common to several functions are allocated using formulas derived from the nature of related time. Supporting services are those related to operating and managing the Organization and their programs on a day-to-day basis. Supporting services have been sub-classified as follows:

*Administrative* - includes all activities related to Nyaya Health A Nonprofit Corporation's internal management and accounting for program services.

*Fund Raising* - includes all activities related to maintaining contributor information, writing grant proposals, direct mail solicitation, distribution of materials and other similar projects related to the procurement of funds.

Tax Position

The Organization currently evaluates all tax positions, and makes a determination regarding the likelihood of those positions being upheld under review. The primary tax positions made by the Organization are the existence of Unrelated Business Income Tax and the Organization's status as a tax-exempt organization under Section 501(c) (3) of the Internal Revenue Code. For the years presented, the Organization has not recognized any tax benefits or loss contingencies for uncertain tax positions based on this evaluation.

Reclassification

Certain reclassifications have been made to prior year's financial statement to conform to classifications used in the current year.

**Note 2 – Restrictions on Net Assets**

Temporarily restricted net assets reflect donations restricted for future expenses related to programs in earthquake affected areas in Nepal. As of July 31, 2018 and 2017, \$136,127 and \$369,470 are temporarily restricted, respectively.

**Note 3 – Concentrations of Credit Risk**

The organization maintains its cash at a bank that is insured by the Federal Deposit Insurance Company up to \$250,000. As of July 31, 2018 the total amount exceeding the insured amount is approximately \$640,000.

**Nyaya Health d/b/a Possible**  
**Notes to Financial Statements**  
**For the years ended July 31, 2018 and 2017**

**Note 4 - Property and Equipment**

|                                | <u>Life/Years</u> | <u>2018</u>     | <u>2017</u>     |
|--------------------------------|-------------------|-----------------|-----------------|
| Computers & equipment          | 3                 | \$ 8,612        | \$ 7,813        |
| Furniture & fixtures           | 5                 | 450             | 450             |
|                                |                   | 9,062           | 8,263           |
| Less: accumulated depreciation |                   | (5,886)         | (4,245)         |
|                                |                   | <u>\$ 3,176</u> | <u>\$ 4,018</u> |

Depreciation expense for the years ended July 31, 2018 and 2017 was \$3,294 and \$2,673 respectively.

**Note 5 – Grants to Nepal Affiliate**

Nyaya provides funding to Nyaya Health Nepal in Nepal (See Note 1). Financial support is sent to Nepal via wire transfer. Nyaya Health Nepal receives regular monthly grants based on the specific expenditures and is responsible for its own filings in Nepal.

**Note 6 – Employee Pension Plan**

Nyaya employees may elect to enroll in a TriNet 401(k) Plan offered through Transamerica Retirement Services. Nyaya does not provide a 401k match for any employee contributions nor does the Organization make any company contributions toward individual employee 401k plans. This elective benefit became effective as of May 1, 2014.

**Note 7 – Concentrations**

Donations from four organizations in the amount of \$1,000,000, \$999,996, \$955,591 and \$600,000 represent approximately 18%, 18%, 17% and 11%, respectively, of the Organization's total support and revenue for the year ended July 31, 2018. Donations from two organizations in the amount of \$1,000,000 and \$600,000 represent approximately 19% and 11%, respectively, of the Organization's total support and revenue for the year ended July 31, 2017.

**Note 8 – Commitments and Contingencies**

The Organization subleases office space under a non-cancellable operating lease agreement expiring on June 29, 2019.

Future minimum lease payments subsequent to July 31, 2018 are as follows:

|      |                  |
|------|------------------|
| 2019 | 44,000           |
|      | <u>\$ 44,000</u> |

**Note 9 - Subsequent Events**

The Organization has evaluated subsequent events through December 21, 2018, the date which the financial statements were available to be issued. There were no subsequent events noted.